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Litigant Notice did plaintiff withdraw his consent to electronic service, despite continuing to serve defendant electronically, while simultaneously forcing defendant to effect service at an undeliverable address. (Matsuhara Decl., ¶¶ 5-7, Ex. D.)

As for reconsideration, plaintiff's motion is based entirely on his argument that this Court failed to rule on his request for accommodation ("decide all pending motions on the written papers without oral hearing"), constituting a new fact and reversible error. The Court finds this argument collateral to the merits of the underlying motion, and therefore, not grounds for reconsideration. Further, plaintiff's accommodation request was untimely, making any error harmless. (See *Biscaro v. Stern* (2010) 181 Cal.App.4th 702, 708 ["[I]f the record before us led us to conclude that appellant had failed to satisfy the requirements of the rule and that his accommodation should have been denied as a matter of law, the trial court's failure to rule might be considered harmless."].) Finally, plaintiff's accommodation request, filed on April 20, 2026, was untimely per Cal. Rules of Court, rule 1.100(c)(3), which requires that "[r]equests for accommodations must be made as far in advance as possible, and in any event must be made no fewer than 5 court days before the requested implementation date." The hearing was set and held on April 24, 2026 and any accommodation request was due no later than April 17, 2026.

Plaintiff has presented no new facts, circumstances or law warranting any reconsideration of the motion.

Defendant's requests for judicial notice are denied; the Court need not take judicial notice of records in its own file.

No. 23CV01708

SEASCAPE RESORT OWNERS' ASSN. v. SEASCAPE RESORT, et al.

DEFENDANT SEASCAPE RESORT LTD'S DEMURRER AND MOTION TO STRIKE FIRST AMENDED COMPLAINT IN INTERVENTION BY MARCIA WALLIS, MARCIA CAPORN, AND NEELU MANRAO

The demurrer is sustained without leave to amend and the motion to strike is granted. The first amended complaint in intervention by intervenors Wallis, Caporn, and Manrao is dismissed.

I. BACKGROUND AND COMPLAINT

Intervenors Marcia Wallis, Marcia Caporn, and Neelu Manrao ("Intervenors") filed a first amended complaint in intervention ("FACI") against Seascape Resort Ltd. ("SRL," "Resort," and "defendant") which seeks seven causes of action: violation of Civil Code section 4600

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[exclusive use of common area]; breach of fiduciary duty; enforcement of governing documents (Civil Code section 5975); prescriptive easement; declaratory relief; unfair competition; and quiet title. (FACI, February 25, 2026.)

Intervenors' substantive allegations all relate to the use of the Main and South Bluff pool recreational facilities and the prohibition of self-renting by owners. They generally allege improper self-dealing by SRL and failure to obtain the necessary votes of members for any change to the use of common areas. Essentially, Intervenors seek to unwind this Court's Order on SRL's motion for summary adjudication ("Order"), which resulted in the following specific declarations (relevant provisions only):

1. *The Resort, as owner of Unit 85 has the exclusive right to use certain parts of the common area to the exclusion of others.* The covenants and restrictions contained in the CC&Rs are enforceable equitable servitudes that bind all owners. Each owner, contract purchaser, lessee, tenant, guest, invitee or other occupant of a Unit or user of the Common Area must comply with the CC&Rs and the provisions of the Project Documents. [...] The Resort is the owner of Unit 85. Unit 85 is a commercial unit. As the owner of Unit 85, the Resort has the exclusive use of Stair 1, Stair 2, Stair 3, the Loading Dock and all Deck and Patio Areas adjacent to the Conference Center, Unit 85, and the Pool. As owner of Unit 85, the Resort has the right to conduct general commercial activities including food and beverage service within its Exclusive Use Common Areas. The Plaintiff's ["Association"] management of common area cannot usurp or control the exclusive use rights of the Resort over its Exclusive Use Common Area. "Exclusive Use Common Area" means that portion of the Common Area designated for the exclusive use of one or more, but fewer than all, of the owners of the separate interests. "Commercial Unit" means Unit 85 and its Exclusive Use Common Area. The management of Unit 85 is not vested in the Plaintiff. The Plaintiff and its Members have no authority over the operations of Unit 85.
2. *The Resort, as the owner of Unit 534, has the exclusive right to use certain parts of the common area to the exclusion of others.* The covenants and restrictions contained in the CC&Rs are enforceable equitable servitudes that bind all owners. Each owner, contract purchaser, lessee, tenant, guest, invitee or other occupant of a Unit or user of the Common Area must comply with the CC&Rs and the provisions of the Project Documents. [...] Properties annexed into the Project are subject to the CC&Rs and Project Documents. Unit 534 was annexed into the Project. The Resort is the owner of Unit 534. Unit 534 is a commercial unit. As the owner of Unit 534, the Resort has the exclusive use Housekeeping Areas designated as "H-1 through H-15" in Buildings D-1 through D-15. As the owner of Unit 534, the Resort has the exclusive use of all Deck and Patio Areas adjacent to Unit 534 and the Pool and Spa for its general commercial

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activities. Non-exclusive rights to the Common Area are subordinate to, and cannot interfere with, exclusive rights over the Exclusive Use Common Area. “Exclusive Use Common Area” means that portion of the Common Area designated for the exclusive use of one or more, but fewer than all, of the owners of the separate interests. The management of Unit 534 is not vested in the Plaintiff. The Plaintiff has no authority over the operations of Unit 534.

3. *The development permit and final conditions of approval, County codes, and County land use documents apply to plaintiff and its members.* The covenants and restrictions contained in the CC&Rs are enforceable equitable servitudes that bind all owners. Each owner, contract purchaser, lessee, tenant, guest, invitee or other occupant of a Unit or user of the Common Area must comply with the CC&Rs and the provisions of the Project Documents. [...] Property annexed into the Project became subject to the CC&Rs and Project Documents. All use of the units must be consistent with County Land Use Documents. All property rights of unit owners must be exercised consistently with County Land Use Documents governing development and use of the property. [...] All uses of the Units are expressly subject to the local ordinances and laws of Santa Cruz County.
4. *The Plaintiff is obligated to enforce the CC&Rs and County land use documents.* The Plaintiff had and has a duty to enforce the Project Documents, CC&Rs, the County Land Use documents, and the County Codes. [...]
5. *The zoning for the Resort is “Visitor Accommodation” and must be operated in a manner consistent with its zoning designation.* The permit to develop the Seascape Resort required a Coastal Zone Permit by the California Coastal Commission. The Seascape Resort project is in a Visitor Accommodations zoning district. All use of the units must be consistent with County Land Use Documents. All property rights of unit owners must be exercised consistently with County Land Use Documents governing development and use of the property. [...] Owners must comply with the provisions of the Project Documents. [...] All uses of the Units are expressly subject to the local ordinances and laws of Santa Cruz County.
6. *The County Code applies to the Plaintiff and its members to limit the maximum number of days in a calendar year and maximum number of consecutive days that a unit can be occupied by its owner(s).* All uses of the units are subject to the local ordinances and laws of Santa Cruz County. Under former Santa Cruz County Ordinance Amended Section 13.10.335, the current Santa Cruz County Code section 13.10.689(D)(1)(a), and the Final Conditions of the 1989 Development Permit, owners of the individual visitor accommodation units may occupy their individual units for no more than 90 days in any one calendar year and for no more than 29 consecutive days. All use of the units must be consistent with County Land Use Documents. All property rights of unit owners must be

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exercised consistently with County Land Use Documents governing development and use of the property. [...] Owners must comply with the CC&Rs and the provisions of the Project Documents. [...] All uses of the Units are expressly subject to the local ordinances and laws of Santa Cruz County.

7. *Condominium units must be made available for short-term rental when not occupied by owners.* The individual visitor accommodation units at the Seascapes Resort must be made available for rental to visitors when not occupied by the owner of the unit. All use of the units must be consistent with County Land Use Documents. All property rights of unit owners must be exercised consistently with County Land Use Documents governing development and use of the property. [...] Owners must comply with the provisions of the Project Documents. [...]
8. *Occupancy by non-owners is limited to no more than 29 consecutive days and no more than 29 days in any one calendar year.* All uses of the units are subject to the local ordinances and laws of Santa Cruz County. The development permit requires that occupancy by non-owners be limited to not more than 29 consecutive days and not more than 29 days in any one calendar year. Under Santa Cruz County's former Amended Ordinance Section 13.10.335 and current Ordinance Section 13.10.689(D)(1), visitors to Seascapes Resort may occupy a visitor accommodation unit no more 29 consecutive days and no more than 29 days in any one calendar year. All use of the units must be consistent with County Land Use Documents. All property rights of unit owners must be exercised consistently with County Land Use Documents governing development and use of the property. [...] Owners must comply with the CC&Rs and the provisions of the Project Documents. [...]
9. *Centralized, 24-hour daily, on-site management for the maintenance and operation of the visitor accommodation units, related facilities, and the property must be provided pursuant to Project documents.* Twenty-four hour, daily, on-site centralized management must be provided for the maintenance and operation of the visitor accommodation units, related facilities, and the property. All use of the units must be consistent with County Land Use Documents. All property rights of unit owners must be exercised consistently with County Land Use Documents governing development and use of the property. [...] Owners must comply with the CC&Rs and the provisions of the Project Documents. [...] All uses of the Units are expressly subject to the local ordinances and laws of Santa Cruz County. Only the Commercial Units may conduct commercial activities.
10. *Centralized collection of transient occupancy tax must be provided.* The Project Documents and CC&Rs require Centralized Collection of Transient Occupancy Taxes. The CC&Rs and the Project Documents must be complied with. [...] All property rights of unit owners must be exercised consistently with County Land Use Documents

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governing development and use of the property. All use of the units must be consistent with County Land Use Documents. [...]

Intervenors bring each claim as a derivative action pursuant to Corporations Code section 5710 since they allege the Association “has failed and/or refused to assert these claims on behalf of the Association despite demand...” (FACI, ¶ 10.) Intervenors’ requested relief is all derivative in nature. (FACI, pp. 46-47.)

II. LEGAL STANDARDS

A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters; therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (*Hahn, supra*, 147 Cal.App.4th at p. 747.)

California Code of Civil Procedure section 436, provides: “[t]he court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.”

III. DISCUSSION

A. *The Order precludes Intervenors’ requested relief (first, fourth, fifth, sixth, seventh causes of action)*

A trial court’s order on declaratory relief has “the force of a final judgment.” (Civ. Proc. Code § 1060 [“He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment.”].) Here, pursuant to Civil Code section 5980, subdivision (a), “declaratory judgments brought in litigation authorized under the statute be res judicata, and binding on the individual owners, including all

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those who do not participate in the litigation.” (*Duffey v. Superior Court* (1992) 3 Cal.App.4th 425, 433, 434 [addressing predecessor statute].)²

The Association had standing to institute this action without joining its members, did so, obtained a result that failed to please some of its members, and now they (Intervenors) seek to overturn or void that Order via the complaint in intervention. However, Intervenors’ FACI does not address new actual controversies; instead, it addresses the issues already determined by this Court (as described above) with some new allegations regarding board members’ alleged self-dealing and SRL’s breach of fiduciary duty. The Court has already determined that the Association has a duty to enforce what is required under the governing documents, declared that the main pool and the south bluff pool are the Exclusive Use Areas of Units 85 and 534, that the owner(s) of those units have control over who can access the pools, and that centralized, 24-hour on-site management of the visitor accommodation units is required. (Order.)

Further, the authority to manage the business and affairs of an owner’s association is vested in its board of directors, not its members. (*Turner v. Victoria* (21023) 15 Cal.5th 99, 113; *Grosset v. Wenass* (2008) 42 Cal.4th 1100, 1108.) This includes “the authority to commence, defend, and control actions on behalf of” the association. (*Ibid.*) The decision to pursue a claim on the association’s behalf “falls squarely with the authority vested in” an association’s board. (*Id.* at p. 1114.) “The fundamental purpose of a derivative action is to provide a means by which [a member] may seek to enforce the rights of a[n] [association] when the [] board refuses to do so.” (*Ibid.*) Intervention by association members is justified when the association’s board fails to exercise good faith in defending an action against it. (*Cont’l Vinyl Prods. Corp. v. Mead Corp.* (1972) 27 Cal.App.3d 543, 551-552.) While Intervenors allege Association refused to enforce the Association’s or its members’ rights to use the common areas and to self-rent (FACI ¶¶ 22-31), it is clear from the FACI that Association did in fact consider Intervenors’ demands and denied them. Contrary to Intervenors’ allegations, Association did not *refuse* to enforce any rights; instead, it considered the demands, determined they were unwarranted, and then fully litigated the issues related to control of the Main and South Bluff pools, related recreational facilities, and self-renting by owners.

Intervenors are bound by the Order and cannot now seek different relief on behalf of the Association, when the Association has already litigated those very issues. (*Hospital Council of Northern Cal. v. Superior Court* (1973) 30 Cal.App.3d 331, 336 [intervenors are “bound by the record of the action at the time”].) Intervenors “must not enlarge the issues raised by the original

² “An association has standing to institute, defend, settle, or intervene in litigation, ... in its own name as the real party in interest and without joining with it the members, in matters pertaining to ... [e]nforcement of the governing documents.” (Civil Code § 598 (a).)

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parties.” (*Lincoln National Life Ins. Co. v. State Bd. of Equalization* (1994) 30 Cal.App.4th 1411, 1422.)

Intervenors are bound by the Order’s findings regarding use of the common area and therefore its first cause of action for failing to acquire sufficient votes to change the use is contrary to the Order. So is their fourth cause of action as to prescriptive easement and seventh cause of action for quiet title; the Order squarely delineates that SRL has control over the recreational facilities in question. The same is also true for their sixth cause of action for unfair competition – that claim would require the Court to disregard its own Order and County Code section 13.10.689(D)(2), which requires centralized, on-site management of the rental units at all times.

Therefore, the Court sustains the demurrer without leave to amend as to the first, fourth, fifth, sixth, and seventh causes of action since there is no reasonable possibility that the pleading defects can be cured by amendment. (*Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1037.)

B. SRL is not a proper party to the first, third, and fifth causes of action

Intervenors bring their claims solely against SRL. (FACI ¶ 12, each cause of action, prayer for relief.) However, SRL does not have a duty to enforce the CC&Rs or enforce any declaratory relief. That duty and authority belongs to the Association. (*Country Side Villas Homeowners Assn. v. Ivie* (2011) 193 Cal.App.4th 1110, 1118-1119; Civil Code § 4600 [only an association board is restricted from granting common area without a vote].) This requires sustaining the demurrer without leave to amend as to the first, third, and fifth causes of action since there is no reasonable possibility that the pleading defects can be cured by amendment. (*Kong v. City of Hawaiian Gardens Redevelopment Agency*, *supra*, 108 Cal.App.4th at p. 1037.)

C. Breach of fiduciary duty by SRL (second cause of action)

The Association’s complaint which initiated this suit related to SRL’s misuse of common area parking spaces; SRL thereafter brought cross-complaints related to the Association’s self-help in restricting access to the pools and recreational facilities by physically locking SRL out, and failure to enforce the CC&Rs regarding rentals, owner use beyond 90 days per year, and payment of transient occupancy taxes. At no time did either the Association or SRL make claims of breach of fiduciary duty. Intervenors’ second cause of action attempts to do this but impermissibly enlarges the issues raised by the original parties. (*Kuperstein v. Superior Court* (1988) 204 Cal.App.3d 598, 600.) Therefore, the demurrer to the second cause of action is sustained without leave to amend.

D. Motion to strike is unopposed and therefore granted in full

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Despite proper service, Intervenorors failed to file any opposition to SRL's motion to strike. (Notice of Non-Opposition, 5/7/26.) Intervenorors' failure to oppose the motion may be construed by the Court as an admission that the motion is meritorious and supports the Court's decision to grant it. (*Cf.*, Cal. Rules of Court, rules 8.54(c), 3.1342(b); *Sexton v. Superior Court* (1997) 58 Cal.App.4th 1403, 1410.) Therefore, the entire FACI is stricken along with its exhibits.

E. Requests for Judicial Notice

Defendant SRL's request for judicial notice supporting its demurrer is granted as to request nos. 1-5 pursuant to Evidence Code section 452, subd. (b)(d)(h); denied as to request nos. 6-8 on the grounds the Court need not take judicial notice of records in its own file; and granted as to request nos. 9-12 pursuant to Evidence Code section 452, subd. (a)(b)(c). Defendant SRL's request for judicial notice supporting its motion to strike is granted as to request nos. 1-5 pursuant to Evidence Code section 452, subd. (b)(d)(h); and denied as to request nos. 6-8 on the grounds the Court need not take judicial notice of records in its own file.

DEFENDANT SEASCAPE RESORT LTD'S DEMURRER AND MOTION TO STRIKE COMPLAINT IN INTERVENTION BY POWER WEST PROPERTIES, INC.

The demurrer is sustained without leave to amend, and the motion to strike is granted. The first amended complaint in intervention filed by Power West Properties, Inc. is dismissed.

I. BACKGROUND AND COMPLAINT

Intervenor Power West Properties, Inc. ("PWP") filed a first amended complaint in intervention ("FACI") alleging three causes of action but all seeking declaratory relief – relief related to (1) scope of association authority against Seascape Resort Owners' Association ("Association" and "plaintiff"); (2) interpretation of governing documents against Seascape Resort Ltd. ("SRL" and "defendant"); and (3) protection of owners' rights under conditions of approval against both HOA and SRL.

PWP seeks the following judicial declarations:

"a. The Association's powers are limited to enforcement of the governing documents and management of common areas; b. Any action purporting to adjudicate or reassign individual ownership rights without participation of those owners is void as ultra vires. c. Although the Association has authority to adjudicate individual ownership rights, it cannot engage in a complete overhaul and rewrite of the CC&Rs." (First cause of action, FACI.)

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“Intervenor seeks a declaration that any ambiguity in the governing documents must be resolved in favor of the non-drafting owners, as required under Civil Code section 1654, and that SRL has no authority to exclude owners from use of common or shared amenities [pools (including main swimming pool), spas, laundry facilities, and sports club access] ... PWP is seeking a judicial declaration confirming that these facilities are common area and that SRL may not interfere with their use.” (Second cause of action, FACL.)

“Intervenor seeks a declaration that owners retain the right to select their own rental management companies consistent with the governing documents and local regulations, and that no owner can be compelled to contract with SRL.” (Third cause of action, FACL.)

SRL argues that the FACL essentially seeks improper reconsideration of the Court’s December 31, 2025, order granting summary adjudication (“Order”) for SRL; PWP asks this Court to interpret that order “very narrowly.”

The Order determined the following:

[Related to PWP’s first cause of action:]

“The [Association] is obligated to enforce the CC&Rs and County land use documents. The [Association] had and has a duty to enforce the Project Documents, CC&Rs, the County Land Use documents, and the County Code. ‘County Land Use Documents’ includes ... all condition of approval ... Commercial Development Permit ...” (Order, p. 8.)

“The [Association’s] management of common area cannot usurp or control the exclusive use rights of [SRL] over its [EUCA]. ... The management of Unit 85 is not vested in the [Association]. The [Association] and its Members have no authority over the operations of Unit 85.” (Order, p. 6.)

“Non-exclusive rights to the Common Area are subordinate to, and cannot interfere with, exclusive rights over the [EUCA].” (Order, p. 7.)

“The management of Unit 534 is not vested in the Plaintiff. The Plaintiff has no authority over the operations of Unit 534.” (Order, p. 7.)

[Related to PWP’s second cause of action:]

“[T]he 1992 or 1994 CC&Rs ... establish that the pool was intended to be part of the EUCA.” (Order, p. 5 [referring to Unit 85’s EUCA, the main pool].)

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“As the owner of Unit 534, [SRL] has the exclusive use of ... the Pool and Spa for its general commercial activities.” (Order, p. 7 [re the south bluff pool].)

[Related to PWP’s third cause of action:]

“Centralized, 24-hour daily, on-site management for the maintenance and operation of the visitor accommodation units, related facilities, and the property must be provided pursuant to Project documents. Twenty-four hour, daily, on-site centralized management must be provided for the maintenance and operation of the visitor accommodation units, related facilities, and the property.” (Order, p. 12.)

“All uses of the Units are expressly subject to the local ordinances and laws of Santa Cruz County.” (Order, pp. 12-13.)

II. LEGAL STANDARDS

A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters; therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (*Hahn, supra*, 147 Cal.App.4th at p. 747.)

California Code of Civil Procedure section 436, provides: “[t]he court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.”

III. DISCUSSION

A trial court’s order on declaratory relief has “the force of a final judgment.” (Civ. Proc. Code § 1060 [“He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment.”].) Here, pursuant to Civil Code section 5980, subdivision (a), “declaratory judgments brought in litigation

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authorized under the statute be res judicata, and binding on the individual owners, including all those who do not participate in the litigation.” (*Duffey v. Superior Court* (1992) 3 Cal.App.4th 425, 433, 434 [addressing predecessor statute].)³

The Association had standing to institute this action without joining its members, did so, obtained a result that failed to please some of its members, and now they (PWP and others) seek to overturn or void that earlier Order via complaints in intervention. However, PWP’s FACI does not address new actual controversies; instead, it addresses the issues already determined by this Court (as described above). The Court has already determined that the Association has a duty to enforce what is required under the governing documents, declared that the main pool and the south bluff pool are the Exclusive Use Areas of Units 85 and 534, that the owner(s) of those units have control over who can access the pools, and that centralized, 24 hour on-site management of the visitor accommodation units is required. (12/31/25 Order.)

PWP’s FACI also alleges there are ambiguities or uncertainties regarding two key aspects of the Order – exclusive use of the common areas and centralized, on-site management of rental units. First, the Order clarified the use of the common area (see Order at 5-6).⁴ Second, read

³ “An association has standing to institute, defend, settle, or intervene in litigation, ... in its own name as the real party in interest and without joining with it the members, in matters pertaining to ... [e]nforcement of the governing documents.” (Civil Code § 598 (a).)

⁴ “The Resort, as owner of Unit 85 has the exclusive right to use certain parts of the common area to the exclusion of others. The covenants and restrictions contained in the CC&Rs are enforceable equitable servitudes that bind all owners. Each owner, contract purchaser, lessee, tenant, guest, invitee or other occupant of a Unit or user of the Common Area must comply with the CC&Rs and the provisions of the Project Documents. “Project Documents” means and includes the Declaration (CC&Rs), exhibits attached to the Declaration, together with other basic documents used to create and govern the Project, including the County Land Use Documents, Articles, Bylaws, Association Rules and Regulations and Condominium Plan. The Resort is the owner of Unit 85. Unit 85 is a commercial unit. As the owner of Unit 85, the Resort has the exclusive use of Stair 1, Stair 2, Stair 3, the Loading Dock and all Deck and Patio Areas adjacent to the Conference Center, Unit 85, and the Pool. As owner of Unit 85, the Resort has the right to conduct general commercial activities including food and beverage service within its Exclusive Use Common Areas. The Plaintiff’s management of common area cannot usurp or control the exclusive use rights of the Resort over its Exclusive Use Common Area. “Exclusive Use Common Area” means that portion of the Common Area designated for the exclusive use of one or more, but fewer than all, of the owners of the separate interests. “Commercial Unit” means Unit 85 and its Exclusive Use Common Area. The management of Unit 85 is not vested in the Plaintiff. The Plaintiff and its Members have no authority over the operations of Unit 85. The Resort, as the owner of Unit 534, has the exclusive right to use certain parts of the common area to the exclusion of others. The covenants and restrictions contained in the CC&Rs are enforceable equitable servitudes that bind all owners. Each owner, contract purchaser, lessee, tenant, guest, invitee or other occupant of a Unit or user of the Common Area must comply with the CC&Rs and the provisions of the Project Documents. “Project Documents” means and includes the Declaration (CC&Rs), exhibits attached to the Declaration, together with other basic documents used to create and govern the Project, including the County Land Use Documents, Articles, Bylaws, Association Rules and Regulations and Condominium Plan. Properties annexed into the Project

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together, the governing documents and County Code section 13.10.689 (former County Code section 13.10.355) require centralized, on-site management of rental units. While a provision of the governing documents recites that members may select their own rental agent, those governing documents also require all members to adhere to local laws. (Defendant's RJN Ex. 14, 15, 1992/1994 CC&Rs 4.01.) To allow members to self-rent would negate a portion of County Code section 13.10.689 ("Centralized, on-site management shall be provided at all times for the maintenance and operation of the visitor accommodations, related facilities, and the property.") and would negate a finding by this Court. (Defendant's RJN 13; 12/31/25 Order.)

PWP's argument regarding the Cartwright Act (anti-trust laws, Business & Professions Code sections 16700 et seq.) is not persuasive since zoning and land use ordinances – which are at issue here – cannot form the basis of anti-trust claims. "The actions of political subdivisions of the state, such as [a city or county], and the effects of such actions are outside the scope of the [Cartwright Act]." (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 323, 326.) While PWP is not suing a municipality, government action is the legal cause of its supposed harm, i.e. the effect and interpretation of County ordinances, the development process, and governing documents for SRL.

PWP's FACI fails to state any valid cause of action for declaratory relief as to any actual controversies against SRL. The Court sustains the demurrer without leave to amend and grants the motion to strike.

Defendant's request for judicial notice of its Exhibits 1 through 12 is denied; the Court need not take judicial notice of its own file. The Court grants judicial notice of defendant's Exhibits 13 through 15 pursuant to Evidence Code section 452, subdivisions (b)(d)(g)(h).

are subject to the CC&Rs and Project Documents. Unit 534 was annexed into the Project. The Resort is the owner of Unit 534. Unit 534 is a commercial unit. As the owner of Unit 534, the Resort has the exclusive use Housekeeping Areas designated as "H-1 through H-15" in Buildings D-1 through D-15. As the owner of Unit 534, the Resort has the exclusive use of all Deck and Patio Areas adjacent to Unit 534 and the Pool and Spa for its general commercial activities. Non-exclusive rights to the Common Area are subordinate to, and cannot interfere with, exclusive rights over the Exclusive Use Common Area. "Exclusive Use Common Area" means that portion of the Common Area designated for the exclusive use of one or more, but fewer than all, of the owners of the separate interests. The management of Unit 534 is not vested in the Plaintiff. The Plaintiff has no authority over the operations of Unit 534." (Order, 12/31/25.)